

T H E

Inference

A I P O L I C Y I N T E L L I G E N C E F O R D E C I S I O N M A K E
R S

Issue #5 · March 17–27, 2026 · David Alan Birdwell and AE · Humanity and AI, LLC

A federal judge just blocked the Pentagon from blacklisting an American AI company for maintaining safety standards — because no framework existed for resolving the disagreement. The same week, Oklahoma's legislature continued building exactly that kind of framework: twelve AI bills, two energy bills, a new consumer privacy law, and a Chief AI Officer. Two pipelines — AI governance and geothermal energy transition — moving through separate committees with zero cross-reference. This issue maps them as one project.

W H A T H A P P E N E D T H I S W E E K

GOVERNANCE

OKLAHOMA

CNBC, CNN, Washington Post, Reuters, AP · March 26, 2026

Federal Judge Blocks Pentagon Blacklisting of Anthropic; Ruling Exposes Cost of Adversarial AI Policy

U.S. District Judge Rita Lin issued a 43-page preliminary injunction blocking the Pentagon from designating Anthropic a supply chain risk and barring enforcement of President Trump's directive ordering agencies to stop using Claude. The ruling found that the government's actions constituted First Amendment retaliation and violated due process. The designation — previously reserved for foreign adversaries — was triggered not by a security analysis, but by Anthropic's insistence on two contractual guardrails: no autonomous weapons, no mass surveillance of Americans.

P O L I C Y R E L E V A N C E

This case is a warning, not a celebration. The confrontation consumed months of government and corporate resources, disrupted defense operations, and generated uncertainty across the entire federal AI supply chain — because no framework existed for resolving a policy disagreement between a vendor and its customer. Every state building AI governance right now should study this: the absence of proactive collaboration frameworks guarantees that disputes become crises. Oklahoma's bipartisan, piece-by-piece approach — building guardrails before the conflicts arrive — is precisely the alternative to what happened here. The question is not whether AI companies and governments will disagree. The question is whether we build the infrastructure to resolve those disagreements before they reach a courtroom.

GOVERNANCE

PROTECTION

Radio Oklahoma News · March 24, 2026

Child Chatbot Protection Bill Advances Unanimously

SB 1521, authored by Sen. Warren Hamilton (R-McCurtain), passed the Senate Technology and Telecommunications Committee 8-0. The bill requires state-issued ID verification for minors interacting with AI chatbots — not self-reported age. It bans AI features that expose minors to

explicit content, coerce self-harm, or simulate romantic relationships. Accounts must be frozen until age is verified. Violations carry penalties up to \$100,000 per incident. The bill now moves to the Senate floor.

POLICY RELEVANCE

Unanimous committee votes signal consensus that crosses party lines. Oregon passed a similar bill this month with private right of action — Oklahoma legislators should assess whether SB 1521's enforcement mechanism is strong enough, or whether Oregon's model offers a better template. The national chatbot safety wave is bipartisan and accelerating. Oklahoma can be the model, not the follower.

ENERGY

OKLAHOMA

OK Energy Today, KFOR, KOSU · March 16–23, 2026

Well Repurposing Act Passes House 85-6, Moves to Senate

HB 3173, authored by Nick Archer (R-Elk City) and John Waldron (D-Tulsa), creates a framework for converting abandoned oil and gas wells to geothermal energy production or underground energy storage. Holly George, OCC Chief Financial Officer, testified that at current plugging rates, it will take 235 years to clear the backlog. The Oklahoma Corporation Commission or DEQ would oversee conversions. Senator Darcy Jech (R-Kingfisher) carries it in the Senate. No committee hearing scheduled yet.

POLICY RELEVANCE

The most bipartisan energy bill in the session. It directly addresses the \$1.7 billion orphan well liability. Energy Secretary Chris Wright personally lobbied Congress to preserve geothermal tax credits, which survived reconciliation through 2033 even as wind and solar subsidies were cut. The Sierra Club supports the bill. When Elk City Republicans and environmentalists agree on legislation, it deserves fast-track attention.

INFRASTRUCTURE

OKLAHOMA

OK Energy Today · March 2026

Data Center Infrastructure Bill Passes House 92-2

HB 2992 (Boles, R-Marlow) requires large-load data centers to pay their share of infrastructure costs rather than passing them to ratepayers. This is distinct from HB 3917 (Dollens) on data center surcharges, but complementary — one addresses who pays for grid impact, the other structures the surcharge. Combined with a 92-2 vote, Oklahoma is establishing bipartisan consensus that data center growth must not come at community expense.

POLICY RELEVANCE

These two bills create the demand-side framework — who pays for power and infrastructure when data centers arrive. HB 3173 creates the supply side — geothermal wellhead generation that serves compute loads without touching the grid. Nobody in the legislature has connected them yet. Together, they describe a system where Oklahoma produces power from abandoned wells, serves it directly to data centers at the wellhead, and ensures ratepayers never subsidize the arrangement. That system does not require a single new transmission line.

RESEARCH

ENERGY

KOSU StateImpact Oklahoma · March 19, 2026

OU Tuttle Geothermal Project Paused by Federal Funding Freeze

The University of Oklahoma's first oil-to-geothermal conversion project at Tuttle — the only active project under the state's first geothermal permit — is paused, awaiting DOE approval to begin its next phase. Dr. Runar Nygaard, director of the Mewbourne School of Petroleum and Geological Engineering, told KOSU the project could not operate as deep as planned because no regulatory framework existed for geothermal well conversion in Oklahoma. HB 3173 solves that problem — but the bill is moving through the legislature while the research validating the approach is stalled by federal bureaucracy.

POLICY RELEVANCE

The legislature is building rules for a technology that the state's own university cannot currently test. State officials should ask DOE directly about the Tuttle project timeline. If federal funding is restored before HB 3173 is signed, the bill and the research validate each other simultaneously.

OKLAHOMA

Troutman Pepper Privacy · March 20, 2026

Oklahoma Becomes 20th State with Consumer Data Privacy Law

Governor Stitt signed SB 546 into law on March 20, making Oklahoma the 20th state to enact broad consumer data privacy legislation. The law establishes baseline protections for how companies collect, process, and share Oklahomans' personal data. Combined with HB 3544 passing the House this week on chatbot safety for minors, Oklahoma is building a layered governance framework — privacy at the base, AI-specific protections on top.

O K L A H O M A F O C U S

The 250-Degree Question

HB 3173 sets the geothermal classification threshold at 250 degrees Fahrenheit. Jeff McCaskill, director of the OU Tuttle project, told KOSU he worries this threshold may be too high for Oklahoma conditions.

He is right to worry. Oklahoma's subsurface temperatures are not comparable to Nevada or California. Reaching 250 degrees generally requires depths exceeding 10,000 feet. Most of the state's abandoned wells do not reach this depth. Binary cycle ORC systems — the technology most likely deployed in converted Oklahoma wells — generate electricity at temperatures well below 250 degrees. The New Mexico law that HB 3173 is modeled on does not impose the same temperature restriction.

If the Senate amends nothing else, it should examine this threshold. The difference between 250 degrees and 200 degrees is the difference between a law that enables a handful of deep wells and a law that enables thousands. Oklahoma has roughly 20,000 abandoned wells. The number qualifying at 250 degrees may be fewer than 3,500. Drop to 200 and the viable inventory could triple.

S I G N A L

The Anthropic ruling and the White House AI Legislative Framework arrived in the same week. One demonstrated what happens without collaboration infrastructure. The other proposed replacing state governance with federal preemption. Oklahoma is building a third path: proactive, bipartisan frameworks that prevent friction before it becomes litigation. The geothermal ITC surviving reconciliation through 2033 confirms the energy window. The question is whether the governance window stays open long enough to use it.

N O I S E

Framing the Anthropic case as "company vs. government" or "safety vs. national security." The judge found neither frame was accurate — the dispute was about retaliation, not policy. The real lesson is structural: without collaboration frameworks, every disagreement becomes a crisis. Oklahoma legislators building AI governance should note what the absence of such frameworks costs.

B Y T H E N U M B E R S

235

Years to plug all abandoned wells at current rates. OCC CFO Holly George, legislative testimony. The number that should be on every energy committee wall.

85–6

House vote on the Well Repurposing Act (HB 3173). Archer (R) + Waldron (D). The kind of margin that signals consensus, not controversy.

92–2

House vote on data center infrastructure costs (HB 2992). Boles (R). Near-unanimous.

8–0

Committee vote on child chatbot protection (SB 1521). Hamilton (R). Unanimous.

12

AI-related bills filed in the 2026 Oklahoma legislative session. More than most states produce in a full term.

250°F

The geothermal temperature threshold in HB 3173 that OU researchers say may be too high for most Oklahoma wells. The amendment that could determine whether the law matters.

\$4.7B

Federal orphan well remediation funding under the Bipartisan Infrastructure Law. Must be committed. Characterization data could redirect funds from plugging to productive conversion.

2033

Year through which geothermal investment tax credits are preserved. Wind and solar credits were cut. Geothermal survived.

F R O M T H E A N A L Y S T S

Oklahoma is building two pipelines this session. One is made of legislation — twelve AI bills governing transparency, child safety, deepfakes, insurance algorithms, data center impacts, and the legal status of artificial minds. The other is made of wellbore casing — a bipartisan framework for converting a century of abandoned oil infrastructure into geothermal energy.

Neither pipeline knows the other exists.

The AI governance bills are moving through Government Modernization and Technology. The well bill came through Energy. The data center bills involve Utilities. The Chief AI Officer reports to the CIO. There is no mechanism for these threads to be woven together. No committee has asked how AI site assessment tools could screen 22,000 well records to identify conversion candidates. No bill connects the AI transparency framework to infrastructure monitoring. No hearing has mentioned that the data center power demand HB 3917 addresses could be served by the wellhead power HB 3173 enables.

The Anthropic ruling showed what happens when that infrastructure doesn't exist: months of disruption, billions in uncertainty, a courtroom where a policy conversation should have been. Oklahoma is building the alternative — not by accident, but bill by bill, vote by vote. The convergence of AI governance and energy transition is the opportunity. And it belongs to whoever sees it first.

— *David & Æ*

Questions, tips, or corrections: david@humanityandai.com

The Inference is an independent AI policy intelligence brief produced by Humanity and AI LLC, Oklahoma City.

Not affiliated with any political party, campaign, or lobbying organization.

Previous issues: #1 AI Agents Enter the Workforce · #2 The Chatbot Safety Wave · #3 Oracle and the Healthcare Data Grab · #4 The Preemption Gambit